cent of its natural gas and 15 per cent of its urea requirement, widening the Current Account Deficit (CAD), when imports exceed exports. While exporters stand to gain from the depreciation, consumers pay higher prices for goods with high imported content, including airconditioners, smartphones and automobiles. Foreign travel and vacations become costlier too, as does education at overseas universities.

RBI'S GAMBIT

What made the rupee's slide more concerning was that it breached 95 to a dollar despite the RBI's move to shore it up. On March 27, the central bank capped the net open positions of banks in the onshore forex market at $100 million (Rs 930 crore) at the end of each business day, aiming to curb speculation and stabilise the currency. Earlier, lenders could run net open positions of up to 25 per cent of their net worth, with large banks often accumulating sizeable long dollar bets—sometimes exceeding $1 billion (Rs 9,300 crore)—on expectations of further depreciation. With the new cap in place, banks have had to unwind these positions, cutting exposures to $100 million, effectively forcing them to sell dollars and buy rupees.

The RBI's move eventually delivered results. On April 6, the rupee posted its sharpest rally in 12 years, strengthening to 93 to a dollar. The response, however, was not immediate. The currency initially firmed after the announcement but soon gave up those gains as uncertainty gripped global commodity and financial markets. The trigger was Trump's threats to "obliterate" Iran's electricity facilities, days after announcing a 10-day halt on strikes on the country's infrastructure.

The RBI intervention also reflects its shrinking room to defend the rupee. Traditionally, it strengthens the currency by selling dollars from its foreign exchange reserves, but those buffers have been declining. India's forex reserves dropped by $11.4 billion (Rs 1 lakh crore) to $698.4 billion (Rs 65 lakh crore) in the week ended March 20, driven by a sharp decrease in gold reserves. Forex reserves had touched an all-time high of $728.5 billion (Rs 68 lakh crore) in the week ended February 27, just before the West Asia conflict began. "The $700 billion-plus [as of February] external reserve, we believe, is sufficiently strong to deter speculative moves by intervening in the foreign exchange market to prop up the rupee," says a research note from the State Bank of India. "There is no reason to suggest that we should use forex reserves for rainy days only... and we believe there is still time to intervene in the market to prop up the rupee if it is so desirable." In an interview with INDIA TODAY last December, Malhotra had said that the central bank had a policy not to target any level for the rupee and would "let market forces determine what the appropriate level of the rupee should be". The policy, which the MPC reiterated on April 8, seemed aimed at supporting exporters facing uncertainty from Trump's reciprocal tariffs.



"THE GLOBAL ENVIRONMENT REMAINS HIGHLY UNCERTAIN AND FLUID... OUR ENDEAVOUR IS TO MAINTAIN A FINE BALANCE BETWEEN GROWTH AND PRICE STABILITY"

SANJAY MALHOTRA
Governor, Reserve Bank of India



"THANKFULLY, RBI HAS LARGE FOREX RESERVES, WHICH GIVE A SENSE OF ECONOMIC SECURITY. THOSE WHO ALWAYS THINK IT IS HOLDING MORE RESERVES, MUST RETHINK NOW"

PINAKI CHAKRABORTY
Former Director, National Institute of Public Finance and Policy

REPO RATE

The MPC kept key interest rates unchanged at 5.25 per cent, citing inflation risks from the developments in West Asia. However, there was a clear shift from the "Goldilocks economy" situation, marked by high growth and low inflation in the February MPC meeting, to a "risk-aware economy". The benign inflation outlook of 2.1 per cent has risen to a riskier 4.6 per cent, while the growth outlook has moderated from 7.4 per cent to 6.9 per cent.

The RBI is by no means adopting a "wait-and-watch" approach to macro trends. It will see how the oil supplies from the Strait of Hormuz ease, and how real are chances for peace. Both will cool down prices of the dollar and oil. Early forecasts flag El Niño risks, which could disrupt rainfall patterns, pressure food prices and complicate the inflation outlook. "The global environment remains highly uncertain and fluid," Malhotra said, acknowledging that the risks confronting India were no longer purely domestic. Policy, he added, would remain "nimble and agile". Perhaps most telling was his emphasis on ensuring an "orderly evolution of the macroeconomic environment", which signals a shift from traditional rate-setting to active management of volatility.